



Bill Number: S.B. 1507

Fernandez Floor Amendment

Reference to: EDUCATION Committee Amendment

Amendment drafted by: Mason Holler

FLOOR AMENDMENT EXPLANATION

1. Determines that only the terms of the two governing board members of the previously existing school district placed in receivership who received the highest number of votes casted during the last general election do not expire and continue until January 1 following the next general election.
2. Makes technical changes.

FERNANDEZ FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1507
(Reference to EDUCATION Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute or previously enacted session law.
[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.
~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.
~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.
{[ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS]} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.
{[Orange lowercase underlining in double curly brackets]} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~{[ORANGE UPPERCASE STRIKEOUT IN DOUBLE CURLY BRACKETS]}~~ indicates that the amendment to an amendment is removing new text from statute or previously enacted session law.
~~{[Orange lowercase strikeout in double curly brackets]}~~ indicates that the amendment to an amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double orange underlined carets enclosing an entire section>> indicate that the amendment to an amendment is adding the section to the bill.
~~<<Orange strikeout with double orange underlined carets enclosing an entire section>>~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 15, chapter 1, article 1, Arizona Revised
3 Statutes, is amended by adding section 15-103.01, to read:

4 15-103.01. Small school districts; receivership;
5 consolidation as a matter of law; new governing
6 board; division of assets and liabilities for
7 previously existing districts; powers and duties
8 of receiver

9 A. NOTWITHSTANDING ANY OTHER LAW, IF THE STATE BOARD OF EDUCATION
10 PLACES A SCHOOL DISTRICT IN RECEIVERSHIP PURSUANT TO SECTION 15-103 [ON OR
11 BEFORE DECEMBER 31, 2025 AND THE SCHOOL DISTRICT IS IN RECEIVERSHIP ON THE
12 EFFECTIVE DATE OF THIS SECTION] AND [IF] THE SCHOOL DISTRICT HAS A STUDENT
13 COUNT OF LESS THAN THREE HUNDRED, THE FOLLOWING SCHOOL DISTRICTS ARE
14 CONSOLIDATED INTO ONE SCHOOL DISTRICT AS A MATTER OF LAW:

15 1. IF THE SCHOOL DISTRICT IN RECEIVERSHIP IS A HIGH SCHOOL DISTRICT
16 OR A UNION HIGH SCHOOL DISTRICT, THE SCHOOL DISTRICT IN RECEIVERSHIP~~[,-]~~

1 ~~[AND] THE CLOSEST SCHOOL DISTRICT [AND ANY COMMON SCHOOL DISTRICT THAT IS~~
2 ~~LOCATED WITHIN THE BOUNDARIES OF THE SCHOOL DISTRICT IN RECEIVERSHIP].~~

3 2. IF THE SCHOOL DISTRICT IN RECEIVERSHIP IS NOT A HIGH SCHOOL
4 DISTRICT OR A UNION HIGH SCHOOL DISTRICT, THE SCHOOL DISTRICT IN
5 RECEIVERSHIP AND THE CLOSEST SCHOOL DISTRICT.

6 B. FOR THE PURPOSES OF SUBSECTION A OF THIS SECTION, THE CLOSEST
7 SCHOOL DISTRICT IS THE SCHOOL DISTRICT THAT BOTH:

8 1. MEETS ONE OF THE FOLLOWING:

9 (a) ADJOINS THE SCHOOL DISTRICT IN RECEIVERSHIP.

10 (b) IF THERE IS NO ADJOINING SCHOOL DISTRICT AND ONLY ONE SCHOOL
11 DISTRICT IS ADJACENT TO THE SCHOOL DISTRICT IN RECEIVERSHIP, THE ADJACENT
12 SCHOOL DISTRICT.

13 (c) IF THERE IS NO ADJOINING SCHOOL DISTRICT AND MORE THAN ONE
14 SCHOOL DISTRICT IS ADJACENT TO THE SCHOOL DISTRICT IN RECEIVERSHIP, THE
15 ADJACENT SCHOOL DISTRICT WITH THE SHORTEST DISTANCE BETWEEN ITS BOUNDARIES
16 AND THE BOUNDARIES OF THE SCHOOL DISTRICT IN RECEIVERSHIP.

17 2. PROVIDES INSTRUCTION TO STUDENTS IN:

18 (a) ELEMENTARY GRADES, IF THE SCHOOL DISTRICT IN RECEIVERSHIP IS A
19 COMMON SCHOOL DISTRICT.

20 (b) SECONDARY GRADES, IF THE SCHOOL DISTRICT IN RECEIVERSHIP IS A
21 HIGH SCHOOL DISTRICT, A UNION HIGH SCHOOL DISTRICT OR A UNIFIED SCHOOL
22 DISTRICT.

23 C. THE TERMS OF THE GOVERNING BOARD MEMBERS OF THE PREVIOUSLY
24 EXISTING SCHOOL ~~{{DISTRICTS}}~~ {{DISTRICT THAT IS NOT IN RECEIVERSHIP}} DO
25 NOT EXPIRE ON THE EFFECTIVE DATE OF THE CONSOLIDATION AND CONTINUE UNTIL
26 JANUARY 1 FOLLOWING THE NEXT GENERAL ELECTION, {{AND THE TERMS OF ONLY THE
27 TWO GOVERNING BOARD MEMBERS OF THE PREVIOUSLY EXISTING SCHOOL DISTRICT IN
28 RECEIVERSHIP WHO RECEIVED THE HIGHEST NUMBER OF VOTES CASTED DURING THE
29 LAST GENERAL ELECTION DO NOT EXPIRE AND CONTINUE UNTIL JANUARY 1 FOLLOWING
30 THE NEXT GENERAL ELECTION.}} DURING WHICH TIME THE MEMBERS OF THE
31 GOVERNING BOARDS OF THE PREVIOUSLY EXISTING SCHOOL DISTRICTS SHALL SERVE
32 AS THE GOVERNING BOARD OF THE NEW SCHOOL DISTRICT. AT THE NEXT GENERAL
33 ELECTION HELD FOLLOWING THE CONSOLIDATION AND THEREAFTER, FIVE MEMBERS
34 SHALL BE ELECTED AS PRESCRIBED BY SECTION 15-427, SUBSECTION B. THE NEW
35 BOARD SHALL TAKE OFFICE ON JANUARY 1 FOLLOWING THE GENERAL ELECTION.

36 [D. THE GOVERNING BOARD OF EACH PREVIOUSLY EXISTING SCHOOL DISTRICT
37 SHALL PREPARE A LIST OF ASSETS FOR THE PREVIOUSLY EXISTING SCHOOL DISTRICT
38 BEFORE THE END OF THE FISCAL YEAR IN WHICH THE CONSOLIDATION OCCURS. THE
39 GOVERNING BOARD OF EACH PREVIOUSLY EXISTING SCHOOL DISTRICT SHALL SET
40 ASIDE SUFFICIENT ASSETS OR PROVIDE OTHER MEANS TO SATISFY THE LIABILITIES
41 OF THE PREVIOUSLY EXISTING SCHOOL DISTRICT, AND THE NEW GOVERNING BOARD
42 SHALL APPROVE THE FINAL DIVISION OF ALL ASSETS NOT LATER THAN THIRTY DAYS
43 AFTER THE LISTS OF ASSETS ARE PREPARED PURSUANT TO THIS SUBSECTION. THE
44 AREA WITHIN THE GEOGRAPHIC BOUNDARIES OF EACH PREVIOUSLY EXISTING SCHOOL
45 DISTRICT REMAINS SUBJECT TO PROPERTY TAXES LEVIED FOR BONDS ISSUED BY THE
46 SCHOOL DISTRICT AND ANY OTHER OUTSTANDING DEBT THAT WAS LAWFULLY INCURRED
47 BEFORE THE CONSOLIDATION AND THAT IS NOT OTHERWISE SATISFIED PURSUANT TO
48 THIS SUBSECTION.]

1 ~~[D.]~~ [E.] NOTWITHSTANDING SECTION 15-103, THE RECEIVER WHO IS
2 APPOINTED BY THE STATE BOARD OF EDUCATION:

3 1. DOES NOT HAVE THE POWERS PRESCRIBED IN SECTION 15-103,
4 SUBSECTION F.

5 2. SHALL SUBMIT TO THE GOVERNING BOARD OF THE NEW SCHOOL DISTRICT A
6 COPY OF THE REPORT, FINANCIAL IMPROVEMENT PLAN AND BUDGET THAT THE
7 RECEIVER SUBMITS TO THE STATE BOARD OF EDUCATION PURSUANT TO SECTION
8 15-103.

9 3. SHALL ADVISE THE GOVERNING BOARD OF THE NEW SCHOOL DISTRICT HOW
10 THE SCHOOL DISTRICT MAY ELIMINATE ANY CONTINUED GROSS FINANCIAL
11 MISMANAGEMENT AND ACHIEVE FINANCIAL SOLVENCY.

12 4. MAY RECOMMEND THAT THE GOVERNING BOARD OF THE NEW SCHOOL
13 DISTRICT TAKE ANY OF THE ACTIONS LISTED IN SECTION 15-103, SUBSECTION F.

14 ~~[F.]~~ [E.] NOTWITHSTANDING SECTION 15-103, SUBSECTION J, THE STATE
15 BOARD OF EDUCATION SHALL DISMISS THE RECEIVER THIRTY DAYS AFTER ALL OF THE
16 FOLLOWING OCCUR:

17 1. THE AUDITOR GENERAL CERTIFIES THAT THE SCHOOL DISTRICT HAS BEEN
18 FINANCIALLY SOLVENT FOR ONE FISCAL YEAR.

19 2. THE AUDITOR GENERAL CERTIFIES THAT THE SCHOOL DISTRICT'S
20 FINANCIAL RECORDS ARE IN COMPLIANCE WITH THE UNIFORM SYSTEM OF FINANCIAL
21 RECORDS AND GENERALLY ACCEPTED ACCOUNTING PRINCIPLES.

22 3. THE RECEIVER CERTIFIES THAT THE NEW SCHOOL DISTRICT IS NOT
23 ENGAGED IN GROSS MISMANAGEMENT.

24 4. THE STATE BOARD OF EDUCATION DETERMINES THAT THE NEW SCHOOL
25 DISTRICT IS ABLE TO PAY ITS DEBTS AS THOSE DEBTS BECOME DUE.

26 5. THE NEW SCHOOL DISTRICT GOVERNING BOARD NOTIFIES THAT STATE
27 BOARD OF EDUCATION THAT THE ADVICE AND PROFESSIONAL SERVICES OF THE
28 RECEIVER ARE NO LONGER NECESSARY.

1 <<Sec. 2. Section 15-397, Arizona Revised Statutes, is amended to read:

2 15-397. Effect of unification or consolidation of
3 participating school districts

4 Notwithstanding sections 15-395 and 15-395.01, if a school district
5 ~~[that]~~ was participating in a career technical education district at the
6 time that the school district was unified or consolidated pursuant to
7 chapter 4, article 3 of this title [OR CONSOLIDATED PURSUANT TO SECTION
8 15-103.01], the successor school district that results from that
9 unification or consolidation shall automatically continue to participate
10 in that career technical education district in the same manner as the
11 former school district that was unified or consolidated.>>

12 <<Sec. 3. Consolidation of districts: petitions: election:
13 delayed repeal

14 [A. Notwithstanding section 15-459, subsection A, Arizona Revised
15 Statutes, on receipt of petitions bearing the signatures of two percent or
16 more of the number of qualified electors who voted in whichever of the
17 last two general elections resulted in the higher number of ballots cast
18 and who reside in each of two or more school districts in the same county
19 or in adjacent counties to consolidate the school districts or parts of
20 the districts, the county school superintendent of each county affected,
21 within ten days, shall call an election to determine the question on
22 consolidation if both:

23 1. The combined student count of the school districts or parts of
24 the districts is at least eight thousand but less than eight thousand four
25 hundred.

26 2. The county school superintendent of each county affected
27 received the petition on or before December 31, 2028.

28 B. Except as provided in subsection A of this section, an election
29 called pursuant to this section, and a consolidation allowed by this
30 section, are subject to section 15-459, Arizona Revised Statutes.

31 C. This section is repealed from and after June 30, 2029.]>>

32 <<Sec. 4. Delayed repeal

33 [Section 15-103.01, Arizona Revised Statutes, as added by this act,
34 is repealed from and after December 31, 2029.]>>

35 Enroll and engross to conform

36 Amend title to conform

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